Hut 8 (HUT)

3Q26 | 5 November 2026 | Earnings Update | Post-call version | Josh, with Trevor and Scott

1 Executive snapshot

Consensus thesis. Investors own Hut 8 as the best-financed listed AI landlord (949 MW on 15- to 17-year triple-net leases, $7.5bn of non-recourse investment-grade bonds), and doubt sector funding and how Beacon Point Phase 2 gets paid for.

Thesis status. Monitoring

Versus expectations. Quarter: revenue miss, $71.1mn against $75.5mn to $76.5mn (-6% to -7%); diluted EPS $0.98 against about -$0.75, entirely bitcoin marks. Outlook in line: delivery dates held, no new lease, Phase 2 funding still open.

Biggest changes. (1) Texas is the new risk: Beacon Point's baseload designation depends on a state audit, with results expected 10 December and final 17 December; management anticipates an unconditional classification, with 700 MW energization in 1Q27. (2) Phase 2 financing has no date: it follows the December result. The Phase 2 lease was extended from 15 to 17 years to help offset potentially higher financing costs. (3) The buyback was walked back in tone: 'we do not plan to continue to buy aggressively' and no revolver for buybacks, after $250mn at about $74.88 a share against a $48.94 close on 4 November. (4) Free parent bitcoin is thinner than it looked: 1,361 unencumbered BTC at 1 November (about $107mn at $78,265) against about 6,200 parent BTC derived in our pre-call note. (5) Management says the current build approach, 'NASA rocket programs', will not work at multi-gigawatt scale; existing projects stay on plan and design efficiency should offset rising cost, with no figure.

Investor takeaway. The consensus view should turn more cautious on funding and on Texas, though not on contracts: project bonds and construction hold, but Phase 2 waits on a December state decision, free parent liquidity is smaller after the buyback, and the stock's 23% fall on 4 November says the market has already moved.

Monitor next quarter. (1) 17 December Texas result and any 1Q27 energization change. (2) Phase 2 financing: size, loan-to-cost, coupon, and any parent equity. (3) Parent liquidity against the revolver test from 1Q27, and retirement of the $200mn FalconX loan before April 2027.

Post-call version. Sources: 3Q26 release and 10-Q (EDGAR, 4 November); machine-generated Motley Fool transcript with AI quality control; quotes need checking against the audio. One transcript line reads 'One, recourse to the parent' as something that will not change; context suggests no recourse, so we do not rely on it beyond the CFO's zero recourse-debt remark. 10-Q Note 11 and subsequent events not read. No knowledge base on this run.

2 Key changes this quarter

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P1 Halls deliver on schedule	River Bend 2Q27; Beacon Point 3Q27; Phase 2 2Q28	All dates kept; over 1,200 on site at River Bend; Phase 1 ground improvements about 95%, steel starts this month	Confirmed	Release; call
P2 Tenant credit is IG	Google-backed; AA- or higher at Beacon Point	Fluidstack with Anthropic as end user and Broadcom and Google in the credit profile; AA- per prior disclosure, not repeated. No analyst tested it	Unresolved	Call; July release
P3 Growth without common equity	Non-recourse bonds at about 95% LTC	No more equity expected for River Bend or Beacon Point (no phase limit stated, and not tested by analysts). Phase 2 unpriced; lease lengthened to 17 years to offset cost; 'other avenues' unspecified	Challenged	Call
P4 Pipeline converts to leases	New leases from 8.7 GW	No new lease; 6.4 GW in diligence and exclusivity; 184 acres cleared for River Bend expansion; counterparty not disclosed	Unresolved	Call; release
P5 Bitcoin is a funding reserve	9,314 parent BTC fund campus equity	About 3,100 BTC sold for the buyback; 1,361 BTC unencumbered at 1 November	Challenged	Call

Emphasized more: discipline, the December Texas calendar, changing the build template, cash ('we believe that cash will be king'), Louisiana. Emphasized less or dropped: Phase 2 financing timing, promised for 'the coming weeks' in August; the buyback as a priority; Texas compared with Louisiana was not made explicit. KPIs more important: free parent liquidity; capex against dates. Less: GAAP EPS, driven by $413.8mn bitcoin gain.

Risks up: Texas, Phase 2, parent liquidity. Down: River Bend construction. Margin moves are temporary until rent starts in 2Q27.

Analyst focus matrix

Topic	Who asked in 3Q26	Questions	Rating of answers
Capex and funding	UBS, B. Riley	2	Partial; deflected on debt structure
Power, permits and Texas	UBS, Needham, Northland, Rosenblatt, Cantor	5	Partial
Sites and pipeline	ROTH, Craig-Hallum (2), BTIG	4	Mostly partial; direct on the funnel
Build cost and pricing	Wells Fargo, JPMorgan, Lucid	3	Partial, direct on change orders
Buyback and capital allocation	Piper Sandler (2), Rosenblatt	3	Direct
Tenant credit	ROTH (partly)	1	Partial; unannounced deals not discussed

Trevor's watch-list. No analyst was named by CK; I chose Gravett (UBS), who asked about Beacon permits and Phase 2 timing, with one transcript held so the pick is thin; Gravett also pressed Core Scientific on 5 November. 3Q question: permit status and when Phase 2 finances? Answer: focus on 17 December, batteries can design around diesel, no date. Rating: partial. Later evidence: Phase 2 terms after the December result. Wider point: nobody asked whether Beacon Point lease remedies apply if the Texas decision delays energization, or for the revolver's liquidity test. Ratings are our judgment. Trend needs earlier transcripts. — Trevor

3 KPI dashboard

Metric	This qtr	Prior qtr	Same qtr last year	QoQ / YoY flag
Revenue ($mn)	71.1	74.9	83.5	[↓] -5.1% / -14.9%
Compute revenue ($mn)	68.4	72.5	70.0	[↓] -5.7% / -2.3%
Lease rent ($mn)	nil	nil	nil	[~] from 2Q27
Adjusted EBITDA ($mn)	33.0	10.4	30.5	[?] new definition, ex BTC marks
Adj. EBITDA incl. BTC marks ($mn)	350.3	n.a.	109.0	[?] marks
Net income to Hut 8 ($mn)	131.1	n.a.	50.1	[?] marks
Diluted EPS	$0.98	-$1.27	$0.43	[?] marks
G&A ($mn)	99.6	n.a.	25.9	[↓] +285% YoY; SBC $64.7mn
Interest expense ($mn)	105.5	60.4 (H1)	8.6	[↓]
Interest income ($mn)	61.8	27.1 (H1)	nil	[↑]
Capitalized interest ($mn)	16.5 of 122.0	n.a.	nil	[?] 13.5%
Capex, PP&E ($mn)	About 476	616.2 (H1)	n.a.	[?]
Cash ($mn)	156.9	233.6	n.a.	[↓] -33%
Restricted cash and investments ($mn)	6,394.5	6,787.1	n.a.	[↓] -6% as spent
Loans and notes, book ($mn)	7,631.5	7,638.4	n.a.	[~]
BTC held incl. ABTC	16,787	17,316	n.a.	[~] -3.1%
Contracted IT MW	949	597	n.a.	[↑] Phase 2 signed July
Pipeline MW	7,859	8,660	n.a.	[↓] -9.2%
Shares (mn)	122.4; 120.0 at 2 Nov	123.2	n.a.	[↑] buybacks

Note: for cost, debt and dilution lines, [↓] means worse for shareholders. H1 figures shown where 2Q alone was not in sources read. Adjusted EBITDA definition changed in 2Q26.

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
River Bend first hall	2Q27	Maintained	Matches	Steel and foundations complete	Not challenged

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
Beacon Point Phase 1	3Q27	Maintained	Matches	Steel starts this month; 700 MW energization 1Q27 subject to Texas	UBS, Needham pressed Texas
Beacon Point Phase 2	2Q28	Maintained	Matches	Lease to 17 years; financing after December	Date not given
Average annual NOI	More than $1.75bn	Maintained	Matches	Triple-net, take-or-pay	Not challenged
Buyback authorization	$1.0bn	Raised $750mn	n.a.	Not buying aggressively; no revolver	Piper, Rosenblatt pressed

Underlying economic performance: unchanged in substance. No rent yet. Net interest carry about $43.7mn in the quarter against $33.0mn of adjusted EBITDA; G&A is inflated by stock pay ($64.7mn). Margin moves are temporary until first rent, and the carry widens as bond cash is spent and interest income falls.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Power and sites	Strong	Stable	Exclusivity 3,180 MW; Texas sites at about $0.78mn per utility MW	Cheap energized sites support future leases
Tenant quality	Strong	Stable	Google backstop; AA- or higher; 704 of 949 MW with one tenant	Credit is the core of bond pricing
Cost of capital	Strong, under test	Down	6.13% to 6.19% bonds; Phase 2 unpriced after extending lease	Phase 2 is the live test
Execution	Good so far	Up	River Bend ahead of first hall	Rent depends on it
Capital allocation	Questioned	Down	BTC to buybacks before Phase 2; management now says not aggressive	Cash now prioritized

5 to 10 year view: 15-year contracted NOI above $1.75bn with amortizing debt should compound if halls deliver. The bitcoin business shrinks in importance; the parent's balance sheet matters only until Phase 2 and the next campuses are funded.

6 Major risks and changes

Risk	Prior	Current	Direction	Implication
Texas designation	Low	High	Up	Beacon Point depends on 17 December; 700 MW energization expected 1Q27
Phase 2 funding	High	High	Up	$9.8bn lease, no price or date; a longer lease used to offset cost
Parent liquidity	Moderate	Elevated	Up	1,361 free BTC, $156.9mn cash, $428mn test from 1Q27 (definition not read); revolver undrawn; FalconX $200mn to retire before April 2027
Carry before rent	Elevated	Elevated	Flat	Interest expense $105.5mn against income $61.8mn; forward path not addressed
Concentration	High	High	Flat	704 of 949 MW with one tenant
Delivery	Moderate	Moderate	Down	River Bend on plan

Concern: Phase 2 equity. → Response: no extra equity expected for River Bend or Beacon Point; Phase 2 financing to follow December. → Evidence: lease extended to 17 years; 'other avenues' unspecified. Concern: buybacks strain parent. → Response: not buying aggressively; no revolver use. → Evidence: $250mn spent at about $74.88 against $47.22 at 9:46 ET on 5 November (about 37% lower); $750mn authorization remains, about 13% of a $5.7bn market cap. Management's 'over $7.7bn' liquidity includes project restricted cash, so it is mostly not free.

7 Capital, funding and per-share impact

Site	MW IT	Tenant	Lease value	Capex	Funded by	Status
River Bend	245	Fluidstack, Google backstop	$7.0bn	n.a. in sources read	$3.25bn 6.192% notes	First hall 2Q27; steel done

Site	MW IT	Tenant	Lease value	Capex	Funded by	Status
Beacon Point 1	352	AA- or higher	$9.8bn	n.a. in sources read	$4.25bn 6.129% notes	First hall 3Q27
Beacon Point 2	352	Same tenant	$9.8bn	n.a.	Under evaluation	First hall 2Q28

Per-share: 3,338,479 shares bought for about $250.0mn; 120.0mn outstanding on 2 November. ATM proceeds $120.1mn in 9M. Remaining authorization $750mn, about 13% of a $5.7bn market cap at $47.22. Funding: about $6.6bn cash and restricted balances, mostly held at projects. $1.07bn revolver undrawn. Bitcoin marks: $697.4mn Hut 8 and $702.9mn ABTC at 30 September. Price: $63.75 on 3 November, $48.94 close on 4 November (-23.2%), $47.22 at 9:46 ET on 5 November. No bond quote found.

8 Monitoring checklist

5 signals: 17 December Texas result; Phase 2 financing; revolver draws; free BTC; new lease. Key risks building: Texas; parent cushion; concentration. Confirmation signals: Unconditional classification, then a Phase 2 bond near Phase 1 terms with little parent equity. Conviction tripwires: Conditional or delayed Texas result; revolver drawn for anything but projects; more buybacks before Phase 2 prices; a slip at River Bend.

Questions for owners (preview questions and how the call answered them)

Question	How the call answered
Rank Phase 2 equity against buybacks; will the revolver fund repurchases? (credit)	No ranking; 'we also do not plan to use the revolver for share buybacks'.
Does parent bitcoin count toward the $428mn test; parent cash? (credit)	Not addressed; 1,361 unencumbered BTC at 1 November; cash $156.9mn not labelled parent-only.
Phase 2: cost, LTC, coupon, date, fallback? (credit)	None given; after 17 December; 'other avenues'; lease now 17 years.
Capitalized share of interest and income path?	Not addressed.
What left the pipeline, and what is closest to a lease?	Called a funnel; 1.3 GW moved to exclusivity; nothing named.
New for owners: if 17 December is adverse or late, what happens to the lease, the $4.25bn bonds and 3Q27 delivery? (credit)	Open.

Read-across for Kona

Hut 8 gave more term, not more rent, to help the bond math: a 15 to 17 year lease is a tool Kona can ask for at small scale. It is also buying energized West Texas sites from a bankruptcy process at up to about $0.78mn per utility MW, a floor for bare energized power, and on the call it said capital scarcity is producing such assets. The Texas audit shows how a state decision can hold up an investment-grade financing; Kona should list Neuquen and national permits as conditions precedent lenders will price, and line up lenders before signing.